

Chapter 3 — AS 2: Valuation of Inventories (the clearest example of prudence)

If Chapter 1 taught you "prudence," this chapter shows prudence doing real work. AS 2 is small, high-scoring, and the perfect proof that a standard is just a principle applied.

1. The Problem

At year end a trader has unsold goods sitting in the warehouse — **closing stock**. This stock has to appear on the Balance Sheet (as an asset) and it directly affects profit, because:

Profit = Sales – Cost of Goods Sold, and **COGS = Opening Stock + Purchases – Closing Stock**.

Look at that formula. **The higher you value closing stock, the lower your COGS, and the higher your profit.** So the value you put on unsold stock is a direct profit lever. That's dangerous — a company could inflate profit simply by valuing leftover stock optimistically.

Two questions must be pinned down or profit becomes fiction: 1. **What costs go into the value of stock?** (Just purchase price? Also freight? Also the factory manager's salary?) 2. **At what amount do we carry it** if the goods have lost value (damaged, outdated, price crashed)?

2. The Core Idea

Value inventory at **the lower of (a) Cost and (b) Net Realisable Value (NRV)**.

- **Cost** = what you spent to bring the stock to its present location and condition.
- **NRV** = what you can realistically sell it for, *minus* costs still needed to sell/complete it.

Why *lower of the two*? **Prudence**. An asset should never be carried at more than the cash it can actually bring in. If stock cost ₹100 but can now only fetch ₹70, carrying it at ₹100 overstates both the asset and profit — you'd be pretending a ₹30 loss hasn't happened. AS 2 forces you to recognise that loss *now*, the moment it's probable. But if NRV is *above* cost, you do **not** write stock *up* — because that would be booking an unrealised profit on goods you haven't sold yet (prudence again: anticipate losses, never profits).

This single "lower of cost or NRV" rule is prudence from Chapter 1, made concrete.

3. Why it's built this way

3a. Why "cost" is defined so carefully

If "cost" were vague, companies would stuff it or starve it to move profit. So AS 2 pins down what's **in** and what's **out**:

Cost INCLUDES (everything to get goods *ready and in place*): - **Purchase cost** — price + duties/taxes *not later recoverable* + freight inward + other directly attributable acquisition costs. (Taxes you can reclaim, like recoverable GST/ITC, are **excluded** — you never really bore them.) - **Conversion cost** (for manufacturers) — direct labour + a systematic share of **production overheads**.

Cost EXCLUDES (things that aren't about getting *this* stock ready to sell): - Abnormal waste (a burst pipe ruining material isn't a "cost of inventory" — it's a loss of the period). *Why?* Because inventory should carry only *normal, necessary* costs; dumping abnormal losses into stock value would hide them and inflate the asset. - Storage costs (unless necessary *before* a further production stage). - Selling and distribution costs (those relate to *selling*, which happens *after* the stock is ready — they belong to the period, not the asset). - Administrative overheads not related to production.

The unifying logic: a cost enters inventory only if it helped bring the goods *to their present location and condition ready for sale*. Ask that one question and you can classify any cost without a list.

3b. Why the overhead absorption rule uses "normal capacity"

Fixed production overheads (factory rent, supervisor salary) are spread over units produced. AS 2 says spread them over **normal capacity**, not actual output. *Why?* If a factory that can make 1,000 units only makes 100 in a slump, dividing all the fixed rent over just 100 units would balloon each unit's "cost" — and then "lower of cost/NRV" might value stock too high, hiding the fact that idle capacity is a *loss of the period*, not a cost of the product. Using normal capacity keeps the unused-capacity cost where it belongs: as a current expense.

3c. Why cost formulas (FIFO / Weighted Average) exist — and why not LIFO

When identical items were bought at different prices, which cost attaches to the units sold vs the units left? You need a *formula*: - **FIFO (First-In-First-Out)**: assume the oldest stock sells first, so closing stock reflects the *most recent* prices. Mirrors how most goods physically flow. - **Weighted Average**: blend all costs into one average per unit. Smooths out price swings. - **LIFO is not permitted** under AS 2. *Why?* LIFO leaves *ancient* prices sitting in the Balance Sheet stock value, so the asset figure drifts far from reality — it fails the "reflect economic reality" test. It was historically used to reduce tax in inflation, i.e., a manipulation motive, so the standard bans it. - **Specific identification** is used when items are *not* interchangeable (e.g., a car dealer tracks each car's actual cost) — because averaging unique items would be meaningless.

The point: the formula is an *assumption about flow of cost*, chosen for faithfulness, not a random pick.

4. The Mechanics (through the RMPD lens from Chapter 2)

- **Recognition:** inventory is recognised as an asset while unsold; when sold, its cost flows to the P&L as an expense (COGS) in the *same* period as the related sale (that's accrual/matching).
 - **Measurement:** at **lower of Cost and NRV**, applied normally **item by item** (not on the whole stock lumped together — see Traps).
 - Cost = purchase + conversion + other costs to reach present location/condition (per 3a).
 - NRV = estimated selling price – estimated costs of completion – estimated costs to make the sale.
 - **Presentation:** shown under **Current Assets** on the Balance Sheet; the expense side hits COGS in the P&L.
 - **Disclosure:** the **accounting policy** used (which cost formula), and the total carrying amount, often by classification (raw material / WIP / finished goods). *Why disclose the formula?* Straight from AS 1 — so profit is interpretable.
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5. Reasoned example

A shirt cost ₹500 to buy and get to the shop. At year end, fashion moved on; you can now sell it for ₹450, but you'll spend ₹20 on repackaging to sell it.

Reason it: - **NRV** = 450 – 20 = **₹430**. - **Cost** = ₹500. - Lower of the two = **₹430**. Carry the shirt at ₹430. - This forces a **₹70 write-down** to be recognised as a loss *now*, in the year the value fell — not deferred to whenever you finally sell it. - Prudence in action: you didn't wait for the loss to "become real" on sale; you recognised it the moment it became probable.

Now flip it: if that shirt could sell for ₹560 (NRV ₹540) against cost ₹500, you still carry it at **₹500** (cost, the lower). You do **not** write it up to ₹540 — that ₹40 is unrealised profit you haven't earned yet. Same rule, both directions, one principle.

6. Connections

- **Prudence (Ch 1)** is the entire engine of "lower of cost or NRV."
- **RMPD lens (Ch 2)** structured the whole standard above.
- **Cost & Management Accounting subject:** the ideas of direct cost, overhead absorption, and normal capacity reappear there in depth — AS 2's conversion cost *is* costing.
- **AS 10 / depreciation (Ch 4):** raw materials feeding production connect to how factory assets' depreciation becomes part of conversion cost.
- **Impact on the P&L:** closing stock links straight into the COGS formula that determines gross profit — this is where accounting meets the Trading Account.

7. Traps & confusions

- **Applying "lower of cost or NRV" to the whole inventory in one lump — wrong.** Do it **item by item** (or by similar groups). If you net a written-down item against a profitable one, you'd hide the loss — defeating prudence. This is the single most common AS 2 exam trap.
 - **Never write inventory up above cost** even if NRV is higher. Losses are anticipated; profits are not.
 - **Recoverable taxes are not part of cost.** If GST paid is claimable as input credit, you didn't really bear it — excluding it keeps cost real.
 - **Selling costs are not inventory costs.** They relate to *selling*, which is after the goods are ready — they hit the period. (But selling costs *are* subtracted when computing NRV — different role, don't confuse.)
 - **Abnormal loss ≠ inventory cost.** A flood ruining stock is a period loss, not something you bury in the value of surviving stock.
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8. First-principles recap

- Closing stock value is a **direct profit lever** (via COGS), so AS 2 exists to pin it down and stop manipulation.
- Rule: **lower of Cost and NRV**, applied **item by item** — pure prudence (recognise probable losses now; never book unrealised gains).
- A cost enters inventory **only if it brought the goods to their present location and condition ready for sale** — that one test classifies any cost (in: purchase + conversion; out: abnormal waste, storage, selling, admin, recoverable taxes).
- Spread fixed production overheads over **normal capacity**, so idle-capacity cost stays a period loss.
- **FIFO / Weighted Average** are assumptions about *cost flow* chosen for faithfulness; **LIFO is banned** because it leaves stale values on the Balance Sheet.
- Disclose the **cost formula used** (AS 1 logic) so the profit is interpretable.